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333 South Beaudry Ave,
Los Angeles, CA 90017

Los Angeles Unified School District

Board of Education Report

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Special Report
Receipt of Results of the October 2023 Go Bond Sale and Comparison of Good Faith Costs of Issuance Estimates and Actuals (007-23/24)

INTEROFFICE CORRESPONDENCE
Los **A**ngeles **U**nified **S**chool **D**istrict
Office of the Superintendent

TO: Members, Board of Education **DATE:** January 9, 2024

FROM: Alberto M. Carvalho, Superintendent

SUBJECT: **RESULTS OF THE OCTOBER 2023 GO BOND SALE AND COMPARISON OF GOOD FAITH COSTS OF ISSUANCE ESTIMATES AND ACTUALS**

On June 13, 2023, the Board of Education authorized the sale and issuance of General Obligation Bonds in the not-to-exceed amount of $850 million (Board Report No. 294-22/23). In October 2023, Moody's Investor Services, Fitch Ratings, and KBRA assigned ratings to the District's General Obligation Bonds, Series QRR (2023) ("the Bonds") of Aa3, AAA and AAA, respectively. Subsequently, the District successfully sold $850 million of the new money Bonds in the same month. The Bonds were issued to finance school facilities projects, including $525 million of Measure Q Bonds and $325 million of Measure RR Bonds. The sale was the District's third issuance of Sustainability Bonds. Per the International Capital Market Association ("ICMA"), Sustainability Bonds are bonds where the proceeds will be applied to finance or refinance a combination of both "Green" and "Social" projects. To receive this designation, the Bonds were evaluated by an independent firm, Kestrel Verifiers, which provided a second-party opinion that reflected the Bonds' conformance with the Sustainability Bond Guidelines under ICMA.

Over the two-day pricing period, the District achieved strong pricing results with investor demand far exceeding the $850 million of District Bonds available for sale. The District received nearly $2 billion in orders from over 75 investors. As a result of the strong market reception, the interest rates on the Bonds were reduced over the course of the sale with the Bonds sold at a true interest cost of 4.55 percent over 25 years. Though interest rates rose from the date of the original Good Faith costs of issuance estimates, long-term borrowing costs remain affordable in a historical context. The transaction closed on November 7, 2023.

Exhibit A provides a comparison of the good faith estimates versus the actual costs of issuance.

Please contact Timothy Rosnick via email at timothy.rosnick@lausd.net or via phone at (213) 241-7989 if you have any questions.

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Exhibit A
Comparison of Good Faith Estimates & Actuals for the Bonds
(Pursuant to Section 15146 of the California Education Code)

The Good Faith Estimates of Costs of Issuance were as of April 27, 2023, prior to Board approval on June 13, 2023.

1. **True Interest Cost ("TIC") of the Bonds:** The rate necessary to discount the amounts payable on the respective principal and interest payment dates to the purchase price received for the Bonds.

Good Faith Estimate	Actuals	Difference
3.80%	4.55%	0.75%

The primary reason that the TIC of the Bonds was higher than estimated in April 2023, is because interest rates rose significantly over this period. Between April 27, 2023, and the pricing date of the Bonds, the Federal Reserve Board increased interest rates two times by a total of 50 basis points, and tax-exempt interest rates, as measured by the 10-year MMD index, rose by 124 basis points.

2. **Finance Charge of the Bonds:** The sum of all fees and charges paid to third parties (or costs associated with the Bonds). The actual costs of issuance were $73,638 more than the good faith estimates.

Category	Good Faith Estimates	Actuals	Difference
Rating Agency – Moody's	$94,250	$94,250	$0
Rating Agency – Fitch	$90,000	$90,000	$0
Rating Agency – Kroll	$90,000	$90,000	$0
Bond Counsel	$100,000	$98,000	($2,000)
Disclosure Counsel	$130,000	$130,000	$0
Municipal Advisor	$90,000	$90,000	$0
Underwriters' Discount	$1,469,911	$1,633,574	$163,663
Measure RR Election Cost	$1,225,240	$1,225,420	$180
Other Expenses/Contingency	$163,525	$75,320	($88,205)
Total	**$3,452,926**	**$3,526,564**	**$73,638**

3. **Amount of Proceeds Received:** The amount of proceeds received by the District for the sale of the Bonds less the finance charge of the Bonds detailed in Table 2 above and any reserves or capitalized interest paid or funded with the proceeds of the Bonds.

Good Faith Estimate	Actuals	Difference
$846,549,348.89(1)	$846,473,435.52	($75,913.37)(2)

(1) This value represents the correct Good Faith Estimate of proceeds from the April 27, 2023 cash flows; a transcription error led to a larger amount being presented in the Exhibit approved on June 13, 2023.

(2) The $2,275 difference between the increase in Total Finance Charge and the decrease in Proceeds Received is attributable to the rounding contingency in the final cash flows being applied to the Interest and Sinking Fund rather than costs of issuance.

4. **Total Payment Amount:** The total of all payments the District will make to pay debt service (utilizing property tax collections) on the Bonds plus the finance charge of the Bonds described in Table 2 above not paid with the proceeds of the Bonds, calculated to the final maturity of the Bonds. Note, the Total Payment Amount was higher by 7.9% due to significantly higher interest rates.

Good Faith Estimate	Actuals	Difference
$1,320,260,814.59	$1,423,935,120.50	$103,674,305.91

The Total Payment Amount was higher by 7.9% due to significantly higher interest rates.